IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH, COURT-III

COMPANY APPLICATION NO. (CAA)-72(ND)/2025

Under Section 230 read with Section 66 and Section 52 and other applicable provisions of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

WESTERN UP TOLLWAY PRIVATE LIMITED

..... Applicant Company

AND

THEIR RESPECTIVE SHAREHOLDERS

Order Pronounced On: 07.10.2025

CORAM:

SHRI BACHU VENKAT BALARAM DAS, HON'BLE MEMBER (JUDICIAL)

DR. SANJEEV RANJAN, HON'BLE MEMBER (TECHNICAL)

PRESENT:

For the Applicant : Mr. Satwinder Singh, Mr. Lokesh Dhyani, Mr. P. Jain, Mr. Yash Jain, Advs.

ORDER

PER: BACHU VENKAT BALARAM DAS, MEMBER (JUDICIAL)

1. This is a first motion Application filed by the Applicant Company seeking approval of this Tribunal about the Scheme of Amalgamation under Section 230, read with Section 66 and Section 52 and other applicable provisions of the Companies Act, 2013, read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, in respect of the Applicant Company. It is submitted that the registered office address of the Applicant Company is situated in New Delhi and therefore the subject matter of the

said application falls within the jurisdiction of this Tribunal. Ld. Counsel has given a brief description of the Applicant Company, which is as follows:

a) Applicant Company namely, Western UP Tollway Private Limited, bearing CIN: U90000DL2005PTC310964, was incorporated on 20.04.2005 under the provisions of the Companies Act, 1956, as a Company Limited by Shares (Non-govt. company) with the Registrar of Companies, NCT of Delhi & Haryana. The registered office of Applicant Company No. 1 is situated at B-376, Upper Ground Floor, Nirman Vihar, New Delhi-110092. The Authorized Share Capital of the Company is Rs. 120,00,00,000/- divided into 12,00,00,000 equity shares of Rs. 10/- each and the issued, subscribed and paid-up share capital of the Company is Rs. 114,87,52,000/- divided into 11,48,75,200 equity shares of Rs. 10/- each.

b) The Applicant Company is engaged in the business of operation and maintenance of highway connecting the cities of Meerut and Muzaffarnagar under a concession agreement with the National Highways Authority of India ("NHAI"). It is a 77.8 Km four-lane highway on Build-Operation-Transfer (BOT) Toll model, which forms a part of the NH 334 in Uttar Pradesh. It has one toll plaza, namely, Siwaya (TP1) at Km 76.0, which lies close to Meerut (approximately 10 km from the city). The entire share capital of the Applicant Company is held by Cube Highways Trust ("Parent Entity"), an Infrastructure Investment Trust registered with the Securities and Exchange Board of India.

2. The Affidavit in support of the present application has been sworn by Mr. Om Prakash, authorized signatory of the Applicant Company, who has been duly authorized vide board resolution of the Applicant Company vide its board resolutions dated 28.07.2025.

3. The Board of Directors of the Applicant Company at its board meeting held

on July 28, 2025, has approved the Scheme. The Applicant Company has placed on record the certified true copy of the board resolution and list of director of the Applicant Company.

4. The salient features of the Scheme are set out hereunder:

"1) The Scheme provides for:

(a) reorganization of capital structure by adjusting accumulated losses (negative balance of retained earnings) as appearing in the annual financial statements under the head "Other Equity of the Applicant Company ("Accumulated Losses"/"negative balance of Retained Earnings") against securities premium, deemed capital contribution and equity component of interest on the compound financial instrument-non-convertible debentures ("Equity Component-NCDs");

(b) reduction of equity share capital of the Applicant Company by cancellation of shares and repaying the current value of equity shares to its Parent Entity; and

(c) reduction of equity share capital of the Applicant Company by cancellation of shares and setting it off against the negative balance of Retained Earnings.

The Applicant Company has significant Accumulated Losses in the balance sheet amounting to INR 3,26,68,96,632/- due to higher finance costs and depreciation in the initial years of operations and therefore, the retained earnings are negative. As a result, the Applicant Company is unable to declare any dividend even though it is generating surplus cash.

Further, such accumulated losses of the Applicant Company have substantially wiped off the value of the Applicant Company represented by its equity share capital, securities premium, deemed capital contribution and Equity Component NCDs. It is therefore proposed to re-organize its equity share capital, securities premium, deemed capital contribution and Equity Component-NCDs in the manner aforesaid, to re-align the relationship between its capital and assets thereby truly reflecting its financial position of the Applicant Company.

As per industry practice, once the highway is developed and constructed, the Applicant Company must primarily expend only for maintenance and financing expenses to keep its business operational. Consequently, the Applicant Company is now generating surplus cash and does not have any significant outlays requiring utilization of the same, over and above the obligations under the concession agreement with NHAI and major maintenance expenses of the asset. Therefore, the Applicant Company is proposing to return surplus funds to its shareholders in a timely manner, which is also required as per the industry norms applicable to Parent Entity, after carrying out the necessary adjustment of carry forward of accumulated losses in terms of the Scheme."

5. The Applicant Company has placed on record its Memorandum and Articles of Association, inter alia delineating the object clauses as well as the Certificate of Incorporation.

6. The Applicant Company has 2 (Two) equity shareholders as on 7th August, 2025. The Applicant Company has placed on record the consent letters of all the Equity Shareholders along with the affidavit. The Applicant Company has NIL secured creditors as on 7th August, 2025. The Applicant Company has 32 (Thirty Two) Unsecured creditors as on 7th August, 2025. The Unsecured Creditor of the Applicant Company, representing more than 92% of the total unsecured debt have given their consent in writing in the form of an affidavit to the proposed Scheme of Amalgamation. The Applicant Company has placed on record the consent letters of all unsecured creditors, along with the affidavit.

7. Having heard the submissions made by Ld. Counsel and having perused the records as well as the documents placed on record, we allow the following prayers:

"A. To dispense the requirement of convening meetings of equity shareholders as all such equity shareholders have already given their consent affidavits;

B. To dispense the requirement of convening meetings of secured

creditors as there are no secured creditors in the Company;

C. To dispense the requirement of convening meetings of unsecured creditors as unsecured creditors representing more than 92% of the total outstanding debt towards unsecured creditors have already given their consent affidavits;"

8. The prayer sought in the present application bearing CA.CAA-72(ND)/2025 stands **allowed** on the aforesaid term and is accordingly **disposed of**.

9. A copy of the order shall be served to all the parties.

Sd/-
(DR. SANJEEV RANJAN)
MEMBER (TECHNICAL)

Sd/-
(BACHU VENKAT BALARAM DAS)
MEMBER (JUDICIAL)